



**TESTING AND RESEARCH UAS SITE  
UNMANNED AIRCRAFT SYSTEM  
EXCLUSIVE LEASE**

1. Effective Date

The effective date of the lease is Month Day, Year

2. Parties

The parties to this Unmanned Aircraft Lease are the University of Alaska Fairbanks (UAF), by the authority conferred under the Other Transaction Agreement, DTFAC-14-A-00005/Modification 0007, Dated September 19, 2023, acting as the UAS Equipment Lessee, and hereinafter referred to as “Lessee” and Name of Company

a State the Company is from, acting as the UAS Equipment Lessor hereinafter Referred to as “UAS Customer”.

3. Recitals

A. The term “unmanned aircraft” means an aircraft that is operated without the possibility of direct human intervention from within or on the aircraft. The term “Unmanned Aircraft System” (UAS) means an unmanned aircraft and associated elements (including communication links and the components that control the unmanned aircraft) that are required for the pilot in command to operate safely and efficiently in the national airspace system.

B. The U.S. Federal Aviation Administration has designated six test sites for the testing of UAS within the United States’ airspace. One of these sites is operated by the University of Alaska Fairbanks (UAF).

C. UAS Customer has entered into a contract with the UAF for the testing or operation of UAS Equipment owned or developed by UAS Customer.

D. In order to conduct that UAS testing, UAS Customer is entering into this exclusive lease with the Lessee.

E. Lessee may from time to time retain a contractor to perform test site operations and services including obligations of Lessee under this lease.

4. Leased UAS

UAS Customer leases to Lessee and Lessee leases from UAS Customer, under the terms and conditions of this lease, the following unmanned aircraft system: \_\_\_\_\_; along with all standard equipment as defined by the manufacturer’s specifications, all optional



equipment listed in Appendix A, any replacement or substitute equipment, and all logbooks for or relating to the UAS.

5. Delivery of UAS

UAS Customer shall deliver the UAS to Lessee such other location specified in writing by Lessee to UAS Customer. Lessee shall return the UAS to UAS Customer at the expiration or earlier termination of this lease at the place of delivery.

6. Use of UAS

During the term of the lease, the UAS shall be based at Name Test Range. The UAS shall be operated exclusively as a “public aircraft” for a “governmental function” as those terms are defined at 49 U.S.C. §40102(a)(41) and §40125(a)(2). UAS testing can only take place if the UAS being tested is leased for a period of at least 90 days by a government entity associated with the test site, such as the UAF by and through Lessee as an approved instrumentality of the UAF. During the term of the lease, the UAS may be temporarily returned to the manufacturer or other authorized agent for hardware and/or software upgrades and other improvements approved by the Lessee. The UAS shall not be operated outside UAF ACUASI COA, without the prior written consent of the parties to this lease. (See Appendix B)

7. Term

The minimum term for this lease is ninety (90) days, commencing on: 2025. A Party may terminate this Lease at any time after the mandatory ninety (90) day period by providing written notice to the other Party(ies). Each Party shall be solely responsible for payment of any costs associated with its’ termination.

8. Considerations

This lease is necessary for the parties to be able to accomplish the purposes of their separate contract for testing or operation of UAS equipment pursuant to 49 USC § 40102(a)(41)(D). Consideration for this lease consists of the mutual obligations made by the parties in both this lease and the contract.

9. Obligations of Customer

A. Unless otherwise agreed, all expenses incurred in shipping the UAS from and to the place of delivery will be UAS Customer’s responsibility.

B. UAS Customer is responsible for normal wear and tear to the UAS during the term of this lease. UAS Customer will provide replacement engines, propellers, batteries, and other consumables as required during the term of this lease.

C. Any and all costs, fees, penalties or interest assessed by the government of the United



States, any foreign government, any political subdivision or any agencies of any such governments or political subdivisions, relating to the cleanup and disposal of any and all hazardous substances or petroleum products emitted from the UAS at any time are the responsibility of UAS Customer.

#### 10. Obligations of Lessee

A. Lessee shall not make any alterations or remove existing alterations or equipment included in the definition of the UAS and subject to the terms and conditions of this lease except as directed for operations supporting UAS Customer needs or test objectives, with UAS Customer's prior written approval.

B. Lessee shall not assign or sublease its interest in this lease. This does not limit the Lessee's ability to direct employees, agents and contractors in their operation and management of the UAS. Lessee shall permit the UAS to be operated only by a qualified operator through its principals, employees or agents and within the geographical limits as set forth in the Certificate of Authorization and applicable insurance policy or policies obtained in compliance with the terms of this agreement, in full compliance with any federal, state, territorial, foreign, or municipal law or regulation that may apply where the UAS is operated.

#### 11. Liability Insurance

UAS Customer shall, at its own expense, secure and maintain in effect prior to flight and throughout the remainder of the term of this lease aircraft liability insurance coverage on the UAS, sufficient for operations. All policies required shall be written as primary policies and not contributing to nor in excess of any coverage that Lessee may choose to maintain. Prior to flight, UAS Customer shall submit a certificate of insurance to Lessee evidencing liability coverage sufficient for operation. All policies shall name "University of Alaska, Fairbanks" as Additional Insureds. Failure of Lessee to demand such certificate, or failure of Lessee to identify a deficiency from evidence that is provided, shall not be construed as a waiver of the requirement that UAS Customer shall maintain such insurance. Lessee reserves the right to compare proposed operations against the insurance coverage and, if needed to cover the proposed operations, require additional coverage or limits from the UAS Customer. By requiring insurance, Lessee does not represent that coverage and limits will necessarily be adequate to protect UAS Customer. Lessee, and its designated representatives, will insure for liability stemming from its operations using the UAS.

#### 12. Risk of Loss of UAS

UAS Customer acknowledges that the UAS being tested is an experimental system with developing but uncertain performance capability. UAS Customer shall be responsible for any loss or damage to the UAS, including wear and tear, incurred during the term of this lease and any transportation of the UAS to or from the operations area. All costs of recovering, moving, storing, cleaning, or otherwise dealing with the disposition of the UAS in the event of loss or damage, from whatever cause, are the responsibility of UAS Customer.



### 13. Mutual Indemnification

A. UAS Customer agrees to indemnify, defend and hold harmless the “University of Alaska, Fairbanks” and their officers, agents and employees against all liability, loss and costs arising from actions, suits, claims or demands for the acts or omissions of UAS Customer, and UAS Customer’s officers, agents and employees, in performance of this contract.

B. In accordance with and/or up to the limits of \$1,000,000.00, Lessee agrees to indemnify, defend and hold harmless UAS Customer and UAS Customer’s officers, agents and employees against all liability, loss and costs arising from actions, suits, claims or demands for the acts or omissions of Lessee and Lessee’s officers, agents and employees, in performance of this contract.

### 14. Default

In the event either party to this lease breaches a material term of this lease, the non-breaching party shall provide a written notice of default to the breaching party, specifying the nature and extent of the breach. If the breaching party does not cure the default within ten (10) days of receipt of such notice the non-breaching party may exercise all rights at law or equity with respect to possession of the UAS and applicable damages; provided, however, that UAS Customer may not enter upon Lessee property to recover possession of the UAS without written permission from Lessee.

### 15. Miscellaneous

A. Operational Control: The Lessee hereby certifies that the UAS which is the subject of this agreement is a “public aircraft” as defined under 49 USC § 40102(a)(41)(D), is being operated as a “governmental function” as defined under 49 USC § 40125(a)(2), by a “government entity” as described in 49 USC § 40125(a)(2). The parties acknowledge that all responsibility and obligations in regard to the “operational control” of the UAS, as defined under 14 CFR § 1.1, when operated under the terms of this Lease Agreement shall be borne exclusively by Lessee, its principals, employees, agents or contractors, but that for the purposes of the U.S. Internal Revenue Code, the UAS Customer retains possession, command and control of the UAS at all times subject to Paragraph 6, Use of Lease, above. The parties understand that the responsibilities of each of them for compliance with the applicable Federal Aviation laws and rules are set forth, or referred to, in the Certificate of Authorization issued for the flight of the UAS, that an explanation of factors bearing upon “operational control,” and the pertinent sections of the applicable Federal Aviation laws and rules can be obtained at the FAA Flight Standards District Office in Local FSDO. The parties hereto hereby acknowledge that a true copy of this Agreement shall be in the possession of the operational personnel at all times during the operation of the UAS, and shall be made available for inspection upon request by an Appropriately identified representative of the FAA Administrator.



B. Notice: All notices shall be effective and binding on the parties upon actual delivery or three days after being deposited in the United States Mail.

C. Binding Effect: This lease shall be binding on the heirs, executors, administrators, successors and assigns of the parties. Any changes or modifications of this lease shall be in writing and signed by the parties.

D. Force Majeure: Whenever during the Term it becomes impossible for Lessee or UAS Customer to perform the obligations on either party's part to be performed as a result of war, civil riots, labor disputes, or strikes (other than those caused by the direct act or omission of Lessee or UAS Customer), or acts of God or the elements, then that party shall be excused from such performance without penalty or other liability. Lessee and UAS Customer agree that neither party shall be excused from the timely performance of its obligations under this lease for a period of time greater than ninety (90) days.

E. Export Control: Unmanned Aircraft Technology and Systems as delivered to Lessee are controlled by the United States International Traffic in Arms Regulations (ITAR) (22 CFR 120- 130) and it is the responsibility of the Parties to comply with those laws.

Agreed by the undersigned, who are duly authorized to bind the parties.

For University of Alaska Fairbanks

For \_\_\_\_\_

\_\_\_\_\_  
Name

\_\_\_\_\_  
(Signature)

Lisa A. Allen  
Title: Authorized Organizational Representative,  
Office of Grants and Contracts Administration  
University of Alaska Fairbanks

\_\_\_\_\_  
(printed name)

Dated: \_\_\_\_\_

\_\_\_\_\_  
(Title)

Dated: \_\_\_\_\_